Corporate Financial Analysis – Reckitt Benckiser Group PLC



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Executive Summary

Reckitt Benckiser, an industry leader in health, hygiene and home categories is a managerial run company that is rewarding its shareholders with a Return on Capital of 20% vs. its WACC at 8%. The managers of this company have shown shareholders their ability to increase firm value through innovation and returns that are superior vs. the industry. While the company operates in a large commoditized business, it has been able to grow topline and profitability faster than competitors as a result of its agile innovation process and speed to market. Capital for new projects should not be a concern in the short to midterm as a company still has room to leverage further without a significant impact on its WACC. The company has also gained investor trust by averaging a dividend payout ratio of 58%, while maintaining stable cash levels. A FCFF based valuation of the company suggests that as a result of past performance and strong financial ratios, investors may be too bullish on RB stock. Currently RB shares may be trading at a 45% premium vs. their fair value (£6,602 vs. calculated fair value of £4,570).

Stock Holder Analysis – Where the Power Lies

Reckitt Benckiser (RB) is largely dominated by institutional investors (top 20 investors are institutions). JAB Holdings holds 10% of the total shares in RB, and is led by three partners. Bart Becht, one of these partners, was the ex-CEO of RB (up until 2011). Although as a firm JAB Holdings is dormant, and hence not the marginal investor by definition, with Becht having prior RB experience, it is highly likely that JAB Holdings is actively involved in the decision making at RB. Other investors include Insurance, Mutual Funds & Investment Management Firms (Sun Life, Vanguard, and Fidelity, Blackrock, State Street and Legal and General Inv.). Together, these companies hold 20% of total RB stock. These companies would all be well diversified and none of them alone can be a marginal investor in RB. RB investors also include a diverse portfolio of banks such as Morgan Stanley, Deutche Bank, BNP Paribas, JP Morgan and UBS. This could potentially expose the company to any volatility in the financial services sector if these banks change their investment strategy during downturns. It is interesting to see that as of January 6th, 2016, the most active trading in RB stocks from these top investors is seen by Morgan Stanley and UBS (both reducing their holding in RB). Lastly, two government backed organizations also hold a stake in RB and are worth mentioning; Norges Bank, Norway's Central Bank holds 3.5% of RB stock (4th largest) and manages government employees' pension fund, and Peoples Republic of China (PRoC) holds 1% of RB stock. While Norges Bank poses no credible threat, having exposure to Chinese investment can backfire on RB given the economic volatility in China (as of Jan 2016, China reduced its position in RB by 1.2 million dollars). RB also operates several manufacturing facilities in China (Qingdao, Shandong, Jingzhou, and Hubei), which could be under subsidy agreements with the government and any action from either (i.e. factory shutdown, subsidy changes) side could have implications on the market value of RB. Given the size of business in China ( ), it may be beneficial to have PRoC as a major investor in RB stock.

It is also interesting to observe the Board of Directors at RB. With 14 Board Members, perhaps the decision making process is a bit lengthy. However, upon looking deeper, the board has several members that can add value. Nicandro Durante, Adrian Bellamy, Sue Shim, Chris Sinclair, and Doug Tough are all ex-retail C-level executives who would be able to provide valuable insight to any decision on hand. The only conflict of interest on the Board could be Marry Harris, who also serves on the board of Sainsbury's, a RB customer.

Overall, the board at RB is sound and well diversified, and RB shareholders are dominated by institutional investors. RB is likely to be a managerial run company, and the investors are most likely to vote with the managers of the company. It is highly likely that the informal "golden vote" / marginal vote resides with key stakeholders, i.e. JAB Holdings, the suite of banks (who may also be the lenders servicing RB), as well as the PRoC, given the importance of China to the success of any multinational firm in today's globalized world. The average investor in RB would benefit from increased activist investor interest in RB to ensure its presence on the voting table, especially given the CPG industry is commoditized and highly competitive, and it is important that managerial performance be constantly challenged to improve overall firm and shareholder value.

Risk and Return

RB is a well-diversified company. It plays in Health, Hygiene and Home Categories with 19 power-brands (including Dettol, Vanish, and Finish). The business is broken into three major clusters - ENA (Europe & North America), LAPAC (Latin America, Australia-Asia), and RUMEA (Russia, Middle East & Africa). The table below shows the revenue split for the FY 2014 (last available report) that would lead to a company equity risk premium of 7.25%.

Region	Revenue Split (%)	Region Equity Risk Premium
ENA	58%	6.58%
LAPAC	27%	8.00%
RUMEA	15%	8.50%
Total	**100%**	**7.25%**

Based on the Bloomberg regression, RB has a low Beta of 0.687 (with a range of +/- 0.1). This is in line with similar CPG companies – i.e. Procter and Gamble (0.49) and Unilever (0.7), who usually are less volatile than the market given the demand for commodities is relatively inelastic. 35% (R^2) of the risk in RB stock is attributable to the market. RB's diversification in categories, countries and products that are more focused on basic consumer supports this immunity to market risk. Currency risk should also be limited; with a 60% / 40% split between ENA and rest of the world; devaluations would be internally hedged. The remaining risk in RB stock should therefore be largely attributable to the decisions made by the managers at the company.

For the 2 yr. period 2014 – 2016, RB has an alpha of 0.37%. This results in Jenson's Alpha of 2.0%, showing that on average, the stock did 2% better than the FTSE index over the 2 year period. To calculate the Required Return, we can use the risk free rate of 1.52%, 0.687 as our Beta, and an Equity Risk Premium of 7.25%, then:

Required Return = 1.52% + 0.687 * (7.25%)

Required Return = **6.50%**

Dissecting the RB business, and calculating a bottom up Beta however, results in a different Required Return for RB. RB operates across four major categories – Health, Hygiene, Home, and Food.

Using the unlevered beta for the categories as a starting point and then using the Enterprise Value to come up with the weighted beta for each category results in an unlevered adjusted (for cash) beta of 0.86 for RB.

Business	Revenue (in billions)	% of Revenue	EV / Sales	Value	Unlevered Beta	Weighted Beta
Health	3099	35%	3.75	11622.19	0.87	0.33
Hygiene	3631	41%	3.75	13614.56	0.89	0.39
Home	1771	20%	2.80	4958.80	0.89	0.14
Foods	354	4%	2.23	789.87	0.74	0.02
Total	8,855			30,985		**0.88**

Levered, this beta becomes 0.95 as a result of factoring in the debt/equity ratio for each business.

Business	Identifiable Assets*	% debt	Value	Debt	Estimated Equity	D/E Ratio
Health	8994	80.9%	11622.2	2082.8	9539.4	21.83%
Hygiene	1303	11.7%	13614.6	301.7	13312.8	2.27%
Home	795	7.1%	4958.8	184.1	4774.7	3.86%
Foods	32	0.3%	789.9	7.4	782.5	0.95%
Total	**11124**	**100.00%**	**30,985.42**	**2,576**	**28,409.42**	**9.07%**
** - using intangible assets as this is the only data publicly available*						

Business	Unlevered Beta	Value	D/E Ratio	Levered Beta	Cost of Equity
Health	0.87	11622	21.83%	1.02	8.9%
Hygiene	0.89	13615	2.27%	0.91	8.1%
Home	0.89	4959	3.86%	0.92	8.2%
Foods	0.74	790	0.95%	0.75	6.9%
Total	**0.88**	**30985**	**9.07%**	**0.95**	**8.4%**
Marginal Tax Rate	20%				

With a bottom up Levered beta of 0.95, the total cost of equity for RB is at 8.4%, vs. the 6.5% calculated using a RAW Beta. It is also seen that Health and Hygiene categories have a higher cost of equity compared to the very small food business (mustard) that RB does.

An A1 rating from Moody's and a risk free rate of 1.52% result in a low cost of debt for RB. The interest coverage ratio for RB is 33.3, which puts it an AAA, however, to be on the cautious side, for the rest of this paper, the higher rate of 2.10% is used.

Moodys Rating	**A1**	**Risk Free Rate**	**Default Spread**	**Cost of Debt**	**Tax**
		1.52%	1.10%	2.62%	20%
Cost of Debt	**2.10%**				

Finally, to look at the cost of capital, the structure of RB debt is as follows:

Type	Amount (millions)	Notes
Short Term Borrowings	1,936	Commercial Paper maturing over 12 months
Long Term Borrowings	636	Fair value quoted using a market rate in the annual reports
Finance Lease Obligations	4	
Total Borrowings	**2,576**	

There is no further breakdown of these debt obligations by time, so we will assume a period of 3 years.

Market Value of Debt	
Interest Expense (2014)	65.00
Pre Tax Cost of Debt	2.62%
Total Borrowings	2576
Period (3 years)	3
Market Value of Debt	2569
PV of Finance Lease Obligations	3.70
Total Market Debt	**2573**

The total market value of debt at RB is therefore 2,573 billion pounds. Having calculated the market value of equity (using Google Finance) and the total equity and debt percentages, a total cost of capital of 8.0% is calculated for RB.

Shares Outstanding (millions)	7070
Share Price (Pounds)	6000
Market Value of Equity (Millions	42420
Market Value of Debt (Millions)	2573
% Equity	94%
% Debt	6%
Cost Of Equity	8.39%
Cost of Debt	2.10%
Cost of Capital	**8.03%**

Measuring Investment Returns

Given the cost of capital, this section looks at Return on Capital and Economic Value Add for RB. A typical project at RB either is new product innovation or a commercial innovation. While the industry standard for new product innovation timeline is between 6-10 years, RB is known to be agile in its thinking and speed to market. Product innovation cycles at RB can be as low as 2-4 years, while commercial innovations happen within 6 months to a year. This is clear competitive advantage over its peers (Unilever, Henkel, Procter and Gamble, Clorox) who are much larger companies and have slower R&D machines.

Return on Capital	EBIT (1-Tax Rate)	BV of Debt	BV of Equity	Cash	BV of Capital	ROC
Reckitt Benckiser	1731	2576	6834	917	8493	20.4%
EVA	994					

Based on the 2014 annual report, RBs ROC is 21%, while its EVA £1 billion vs. a COC of 8.0%. This 13% excess return may be partially driven by the speed with which RB innovates. Another advantage for RB is the product portfolio in which it plays. While the industry compares RB to the likes of P&G, Unilever and Clorox, RB does not play in the beauty and grooming or laundry business, they have found themselves in a niche business of household cleaning products, pesticides, etc. where the closest competitor is Clorox (much smaller and less diversified). They also have a strong line up of healthcare products that are margin and cash drivers for the rest of the business. It is highly likely that in the future this ROC may be slightly challenged as RB diversifies by carrying more household category brands where competition is fiercer and it will be more expensive to bring meaningful innovation to market.

Capital Structure Choices

RB has very little debt in its capital structure. Currently it is 94% capital and only 6% debt, based on market value of equity (share price * number of shares outstanding and debt). Comparing to the industry, where the average D/E ratio for household products companies in Europe is 11.1%, it would seem that RB is still under leveraged at 9.07%.

Capital Structure Choices	
BV of Interest Bearing Debt	2,572
MV of Interest Bearing Debt	2,569
Lease Debt	4
Type of Debt	
Bank Debt	75%
Bonds / Notes	25%
Debt Maturity	
< 1 Year	75%
> 1 Year	25%
Currency	
Domestic Currency	
Foreign Currency	100%
Structure	
Fixed Rate Debt	25%
Floating Rate Debt	75%

There is an obvious tax benefit to holding debt, vs. equity. Other than that, in terms of stock ownership, it is primarily institutionally held, with a minor stake from some governments. The use of debt benefits RB, especially given that its cash flows are large enough to offset all short term borrowings and very stable due to the nature of the industry it is in.

Optimal Capital Structure

To maximize the firm value RB can further leverage itself. Using the corporate structure optimization model and market value of equity, we see that RB can maximize enterprise value by increasing its debt to capital ratio by 11%, to 17%.

RESULTS FROM ANALYSIS			
	Current	*Optimal*	*Change*
D/(D+E) Ratio =	5.79%	17.00%	11.21%
Beta for the Stock =	0.947	1.05	0.10
Cost of Equity =	8.39%	9.14%	0.75%
Rating on Debt	A1/A+		
After-tax cost of Debt =	2.70%	2.70%	0.00%
WACC	8.06%	8.04%	-0.01%
Implied Growth Rate =	1.52%		
Enterprise value	$43,663	$43,763	$100
Value/share (Perpetual Growth) =	$6,000.00	$6,014.29	$14.29

At 17% Debt and 83% equity, RB will still maintain its Synthetic Bond Rating while reducing its WACC to 8.04%. These numbers are based on the market value of RB equity (as traded), and therefore different vs. the bottom up WACC calculated above.

Debt Ratio	Beta	Cost of Equity	Bond Rating	terest rate on de	Tax Rate	ost of Debt (after-ta	WACC	Enterprise Value
0%	0.90	8.07%	Aaa/AAA	3.37%	20.00%	2.70%	8.066%	$43,611
5%	0.94	8.34%	Aaa/AAA	3.37%	20.00%	2.70%	8.060%	$43,656
10%	0.98	8.648%	Aaa/AAA	3.370%	20.000%	2.696%	8.053%	$43,700
15%	1.03	8.99%	Aaa/AAA	3.37%	20.00%	2.70%	8.046%	$43,745
16%	1.04	9.06%	Aaa/AAA	3.37%	20.00%	2.70%	8.045%	$43,754
17%	1.05	9.14%	Aaa/AAA	3.37%	20.00%	2.70%	8.044%	$43,763
18%	1.06	9.22%	Aa2/AA	3.62%	20.00%	2.90%	8.078%	$43,532
20%	1.08	9.38%	Aa2/AA	3.62%	20.00%	2.90%	8.080%	$43,523
50%	1.65	13.51%	Caa/CCC	11.62%	16.90%	9.66%	11.581%	$28,375
90%	8.55	63.53%	C2/C	18.62%	5.86%	17.53%	22.129%	$13,852

Operating at 17% Debt Ratio may be too risky in case of earnings volatility. Over the last 5 years, the average operating income has been 10% lower than what RB closed in 2014. If earnings were to drop by 10%, the optimal level at which RB can operate as an AAA company will be 15%. It is best that the company only increases its debt to capital ratio up to 15% in order to account for this risk.

Mechanics of Moving to the Optimal

RB should look to move to a more aggressive debt ratio in the near term (i.e. next 1-3 years). It is a large company (market cap of £43 billion) and potentially an acquirer vs. an acquisition target. The company is generating excess returns (ROC, EVA, and a positive Jenson's alpha); superior to its peers and cash is not an issue. The company has a rating of A1, so debt is relatively cheap and can be used to fund new product innovation and acquisitions. RB's new debt should be tied to useful life of a project. Majority of the projects RB would invest in would be:

1. New Product Innovation, 1-5 year term, local currency of R&D and production, fixed rate
2. Plant, Manufacturing facility, long term, local currency of country in which plant, etc. will be based, floating rate (hedged for interest rate risk)
3. Acquisitions, long term, currency of buyout, fixed rate, with a call option if debt can be repaid earlier

Dividend Policy & Framework for Analyzing Dividends

RBs total FCFE from 2011 – 2014 has been £9,343 billion. Dividends and buy backs for the same have been £4,857 (52%). This is a fair ratio of returns. Over the last couple of years, RB has consistently performed well -> generating ROC of about 21% (excess of 13%). The company share price has increased by 85% over the last six years (since 2010), and last three years alone saw a share price increase of 42%.

Free Cash Flow	2010	2011	2012	2013	2014
Net Revenues	**$ 8,453.00**	**$ 9,485.00**	**$ 9,567.00**	**$ 9,266.00**	**$ 8,836.00**
Cost of Sales	$ 3,332.00	$ 4,036.00	$ 4,030.00	$ 4,008.00	$ 3,740.00
Gross Margin	$ 5,121.00	$ 5,449.00	$ 5,537.00	$ 5,258.00	$ 5,096.00
Operating expenses					
PreOpening Expenses	$ -	$ -	$ -	$ -	$ -
Store Operating Costs	$ -	$ -	$ -	$ -	$ -
Other Operating Costs	$ 2,991.00	$ 3,054.00	$ 3,102.00	$ 3,371.00	$ 2,932.00
General and Administration Exp & Other	$ -	$ -	$ -	$ -	$ -
Relocation, store closure and lease termination	$ -	$ -	$ -	$ -	$ -
Operating income	\	**$ 2,395.00**	**$ 2,435.00**	**$ 1,887.00**	**$ 2,164.00**
Interest Income / (Expense)	$ 6.00	$ (19.00)	$ (15.00)	$ (31.00)	$ (38.00)
Income Taxes	$ (566.00)	$ (622.00)	$ (587.00)	$ (453.00)	$ (462.00)
NOPAT	**$ 1,570.00**	**$ 1,754.00**	**$ 1,833.00**	**$ 1,403.00**	**$ 1,664.00**
Depreciation and amortization	$ 144.00	$ 157.00	$ 148.00	$ 155.00	$ 161.00
Financing	$ 2,966.00	$ 249.00	$ 887.00	$ 637.00	$ -
Change in working capital	$ 639.00	$ 701.00	$ 700.00	$ 863.00	$ 831.00
Capital Expenditures + Acq	$ (2,823.00)	$ (657.00)	$ (964.00)	$ (633.00)	$ (546.00)
FCFE	**$ 2,496.00**	**$ 2,204.00**	**$ 2,604.00**	**$ 2,425.00**	**$ 2,110.00**

Dividends		873	916	992	988
Buy backs		0	535	279	314
Total		873	1451	1271	1302
Payout Ratio		49.8%	50.0%	70.7%	59.4%
Cash Paid as % of FCFE		39.6%	55.7%	52.4%	61.7%

Dividend Payout Ratio for the 4 years stands at averages 58% and the firm has £900 million in Cash as of December 2014. RB has consistently maintained this level of cash while returning money to the shareholders. The managers of this company have also shown shareholders their ability to increase firm value through innovation and returns that are superior vs. the industry (positive EVA and positive Jensen's Alpha discussed earlier). RB has consistently matched or exceeded industry dividend payout ratio (42.5%) and dividend yield (RB -> 2.2% vs. industry average of 2.3%).

Overall, the current dividend policy is working well -> it keeps investors happy as well as the company is able to use the excess cash generated to drive innovation and topline, which are key to success in a commoditized industry.

Valuation and Conclusion

In conclusion, RB is a managerial run company whose current ROC is 13% higher than its WACC and therefore a good investment for any shareholder. The company is facing a downward trend in topline and will have to find new ways to keep delivering on the high ROC it has in the past. In the absence of year on year strong topline growth RB may have to look at debt markets to raise capital for new projects. This may also put downward pressure on the dividend policy and dilute overall EVA. Finally, based on the assumption of 5% YOY growth in the short term, based on its current capital structure, the firm may be trading at 45% higher than its fair value of £4,570.

Terminal cash flow	$ 1,896.28
Terminal cost of capital	6.02%
Terminal value	$ 42,139.49
PV(Terminal value)	$ 21,376.21
PV (CF over next 10 years)	$ 12,589.68
Sum of PV	$ 33,965.88
Probability of failure =	0.00%
Proceeds if firm fails =	$0.00
Value of operating assets =	$ 33,965.88
- Debt	$ 2,572.00
- Minority interests	$ -
+ Cash	$ 917.00
+ Non-operating assets	$ -
Value of equity	$ 32,310.88
- Value of options	$0.00
Value of equity in common stock	$ 32,310.88
Number of shares	707.00
Estimated value /share	$ 45.70
Price	$ 66.02
Price as % of value	144.46%